

Credit Risk

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1

Application and Definitions

1.1

This Part applies to:

1. (1) every `_firm_` that is a `_CRR firm_` ; and
2. (2) a `_CRR consolidation entity_`.

1.1A

1. (1) A `_firm_` must comply with this Part on an individual basis.
2. (2) A `_CRR consolidation entity_` must comply with this Part on a `_consolidated basis_` , and for this purpose, references to a `_firm_` in this Part (other than in 1.1 and 1.1A) mean a `_CRR consolidation entity_`.

1.2

In this Part, the following definitions shall apply:

`_equity exposures_`

means `_exposures_` that meet the criteria in either:

- (1) Article 133 of the `_CRR_` ; or
- (2) Article 147(6) of the `_CRR_` , if a `_firm_` has permission to use internal models in accordance with Chapter 3, Title II, Part Three of the `_CRR_`.

`_exposure_`

means an asset or off-balance sheet item as defined for credit risk purposes by Article 5(1) of the `_CRR_`.

`_loss_`

means economic loss, including material discount effects, and material direct and indirect costs associated with collecting on the instrument as defined for credit risk purposes by Article 5(2) of the `_CRR_`.

`_non-retail exposures_`

means `_exposures_` that are not `_retail exposures_` , in accordance with Commission Delegated Regulation (EU) 2018/171.

`_retail exposures_`

means _exposures_ that meet the criteria in either:

(1) Article 123 of the _CRR_ ; or

(2) Article 147(5) of the _CRR_ , if a _firm_ has permission to use internal models in accordance with Chapter 3, Title II, Part Three of the _CRR_.

* Future version of 1.2 after 01/01/2027

1.3

Unless otherwise defined, any italicised expression used in this Part and in the _CRR_ has the same meaning as in the _CRR_.

2

Standardised Approach ? Treatment of Exposures to Regional Governments

2.1

For the purposes of Article 115 of the _CRR_ , a _firm_ may treat _exposures_ to the following regional governments as _exposures_ to the _UK_ central government:

1. (1) The Scottish Parliament;
2. (2) The National Assembly for Wales; and
3. (3) The Northern Ireland Assembly.

[Note: Art 115 of the _CRR_]

* Future version of 2.1 after 01/01/2027

3

Securitisation ? Recognition of Significant Risk Transfer

3.1

A _firm_ must notify the _PRA_ that it is relying on the deemed transfer of significant credit risk under paragraph 2 of Article 244 of the _CRR_ or paragraph 2 of Article 245 of the _CRR_ , including when this is for the purposes of Article 337(5) of the _CRR_ , no later than one month after the date of the transfer.

3.2

The notification in 3.1 must include sufficient information to allow the _PRA_ to assess whether the possible reduction in risk weighted _exposure_ amounts which would be achieved by the _securitisation_ is justified by a commensurate transfer of credit risk to third parties.

4

Criteria for Certain Exposures Secured by Mortgages on Commercial Immovable Property

4.1

For the purposes of Articles 124(2) and 126(2) of the _CRR_ and in addition to the conditions set out therein, a _firm_ may treat _exposures_ as fully and completely secured by mortgages on commercial immovable property located in the

UK in accordance with Article 126 of the _CRR_ only where annual average _losses_ stemming from lending secured by mortgages on commercial property located in the _UK_ did not exceed 0.5% of risk-weighted exposure amounts over a representative period. A firm shall calculate the _loss_ level referred to in this rule on the basis of the aggregate market data for commercial property lending published by the _PRA_ in accordance with Article 430a(3) of the _CRR_.

* Future version of 4.1 after 01/01/2027

4.1A

For the purposes of Articles 124(2) and 126(2) of the _CRR_ and in addition to the conditions set out therein, a _firm_ may treat an _exposure_ or any part of an _exposure_ that is not located in the _UK_ as fully and completely secured for the purposes of Article 126 (1) of the _CRR_ only if all of the following conditions are met:

1. (1) annual average _losses_ stemming from lending secured by mortgages on commercial property located in that jurisdiction did not exceed 0.5% of the exposure value over a representative period where:
 1. (a) there is sufficient evidence that the data used to determine the _loss_ level referred to in this rule are of the same or better quality as the data required to be published under Article 430a(3) of the _CRR_ ; and
 2. (b) it is reasonable to rely on such data;
2. (2) the risk-weight that would be applied to that _exposure_ or part of an _exposure_ by the relevant supervisory authority in that jurisdiction is 50% or less.

* Future version of 4.1A after 01/01/2027

4.2

For the purposes of 4.1 and 4.1A, a representative period shall be a time horizon of sufficient length and which includes a mix of good and bad years.

[Note: Arts. 124(2) and 126(2) of the _CRR_]

* Future version of 4.2 after 01/01/2027

5

Settlement Risk

5.1

In accordance with Article 380 of the _CRR_ , where a system wide failure of a settlement system, a clearing system or a _CCP_ occurs, the _own funds_ requirements calculated as set out in Articles 378 and 379 of the _CRR_ are waived until the situation is rectified. In this case, the failure of a counterparty to settle a trade shall not be deemed a default for purposes of credit risk.

[Note: Art. 380 of the _CRR_]

6

Materiality Threshold

6.1

For the purposes of Article 178(1)(b) of the _CRR_ , a _firm_ must assess a credit obligation past due as material if:

1. (1) for _retail exposures_ :

1. (a) the sum of all amounts past due owed by an obligor to the _firm_ , any _parent undertaking_ of the _firm_ or any _subsidiary_ of the _firm_ is greater than £0; and
2. (b) the amount of the credit obligation past due in relation to the total amount of all on-balance sheet _exposures_ to that obligor of the _firm_ , any _parent undertaking_ of the _firm_ or any _subsidiary_ of the _firm_ , excluding _equity exposures_ , is greater than 0%;
2. (2) for _non-retail exposures_ :
 1. (a) the sum of all amounts past due owed by an obligor to the _firm_ , any _parent undertaking_ of the _firm_ or any _subsidiary_ of the _firm_ is greater than EUR 500 sterling equivalent; and
 2. (b) the amount of the credit obligation past due in relation to the total amount of all on-balance sheet _exposures_ to that obligor of the _firm_ , any _parent undertaking_ of the _firm_ or any _subsidiary_ of the _firm_ , excluding _equity exposures_ , is greater than 1%.

[Note: Arts. 178(1)(b) and 178(2)(d) of the CRR]

* Future version of 6.1 after 01/01/2027